GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT
OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS)
NATIONAL FACELESS APPEAL CENTRE (NFAC), DELHI

Appeal No.	:	NFAC/2021-22/10999912
Name of the appellant	:	Shri Prayog Namuna
Address	:	21, Example Mandi Road, Indore - 452 000 (fictitious)
PAN	:	ABDPN1234C
Assessment Year	:	2020-21
Section under which the order appealed against was passed	:	143(3) r.w.s. 144B
Order appealed against passed by	:	Assessment Unit, Income Tax Department, dated 21/09/2021
Date of filing of appeal	:	18/10/2021
Appearance for the appellant	:	Written submissions (e-proceedings)
Date of order	:	22/10/2026
DIN & Order No.	:	ITBA/NFAC/S/250/2026-27/1099999912(1)

ORDER UNDER SECTION 250 OF THE INCOME-TAX ACT, 1961

1. This appeal has been filed by the appellant against the order passed u/s 143(3) r.w.s. 144B of the Income-tax Act, 1961 ('the Act') dated 21.09.2021 by the Assessment Unit, Income Tax Department (hereinafter 'the AO') for A.Y. 2020-21, wherein the total income was assessed at Rs.32,80,000/- as against the returned income of Rs.14,80,000/-, raising a demand of Rs.7,45,320/-.

2. Brief facts of the case are that the appellant is an individual trading in food grains. In the assessment, the AO made a disallowance of Rs.3,60,000/- u/s 40A(3), an addition of Rs.12,00,000/- u/s 68 and a disallowance of Rs.2,40,000/- u/s 36(1)(iii).

3. The appellant has raised the following grounds of appeal:

   (i) The AO erred in disallowing Rs.3,60,000/- u/s 40A(3) though the cash payments were made to cultivators and are covered by rule 6DD.

   (ii) The AO erred in making an addition of Rs.12,00,000/- u/s 68 in respect of loans from relatives, though their identity was established.

   (iii) The AO erred in disallowing interest of Rs.2,40,000/- u/s 36(1)(iii) by holding that borrowed funds were diverted for non-business purposes.

   (iv) The appellant craves leave to add, alter or amend any ground of appeal.

4. The appellant filed written submissions through the e-proceeding facility, which have been considered. The issues are decided as under.

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5. **Issue No. 1: Disallowance of Rs.3,60,000/- u/s 40A(3)**

Facts

5.1 The AO observed that the appellant made cash payments for the purchase of food grains in excess of Rs.10,000/- in a day to a person.

Submissions of the appellant

5.2 The appellant submitted that the payments were made to cultivators for their own produce in villages without banking facilities, which is an exception under rule 6DD(e).

Decision

5.3 I find that the payments were made to the cultivators for their own produce, and the purchase bills and the confirmations of the cultivators are on record. The case is covered by rule 6DD(e). The disallowance of Rs.3,60,000/- made u/s 40A(3) is deleted and this ground of appeal is allowed.

6. **The second issue** relates to the addition of Rs.12,00,000/- u/s 68 in respect of unsecured loans from relatives.

Facts

6.1 The AO held that the appellant failed to prove the creditworthiness of the relatives who advanced the loans, as they had no regular source of income.

Submissions of the appellant

6.2 The appellant contended that the loans were received through banking channels from close relatives and that their confirmations were filed.

Decision

6.3 The bank statements of the lenders show cash deposits made just before the loans were advanced, and these were not before the AO. In the interest of justice, the issue is restored to the file of the AO for fresh adjudication after verifying the creditworthiness of the lenders. This ground of appeal is allowed for statistical purposes.

7. **Issue No. 3: Disallowance of interest of Rs.2,40,000/- u/s 36(1)(iii)**

Facts

7.1 The AO noted that the appellant advanced interest-free loans to family members out of the overdraft account on which interest was paid.

Submissions of the appellant

7.2 The appellant argued that the advances were made out of own capital and that the interest-free funds exceeded the advances.

Decision

7.3 The capital account shows that the interest-free funds of the appellant were less than the advances on the relevant dates. I find no infirmity in the order of the AO. The disallowance of Rs.2,40,000/- u/s 36(1)(iii) is upheld and this ground is dismissed.

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8. In the result, the appeal is partly allowed.

9. Order pronounced and uploaded on the ITBA portal on 22.10.2026.

Sd/-
Commissioner of Income Tax (Appeals)
National Faceless Appeal Centre (NFAC), Delhi

Copy to:

1. The appellant
2. The Pr. CIT, Indore (fictitious)
3. Guard file

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